How governments provide for the future

Government spending can help to shape how an economy develops. By investing in productive activities, as well as day-to-day items, governments can help their economies to grow.

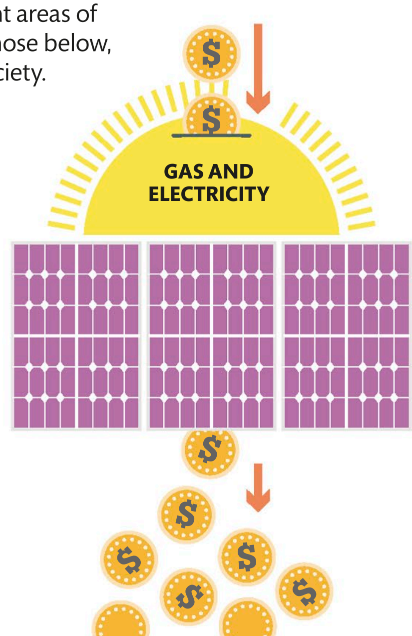
How it works

As well as providing services like education and healthcare, governments also usually take responsibility for providing the buildings public services use, and for essential infrastructure like railways, electricity and gas supplies, and roads. Sometimes, governments will also invest in housing.

Spending on this is government investment, and appears as its "capital" spend in the national budget. It is equivalent to spending by private companies and

Government investment and returns

Governments can invest in many different areas of economic activity. The returns, such as those below, can benefit the government, or wider society.



Returns to government

- **Direct** Passenger fares
- **Short-term** Tax on increased spending near stations
- **Long-term** New businesses move in
- **Indirect** Economic growth

Returns to government

- **Direct** Energy bills paid
- **Short-term** Lower energy costs
- **Long-term** More investment in infrastructure by business
- **Indirect** Economic growth

Returns to government

- **Direct** Utility bills paid
- **Short-term** Cheaper utility costs
- **Longer-term** Health and environmental benefits
- **Indirect** Growth of cities